

The Conceptualization of Nonprofit Marketing Orientation: A Critical Reflection and Contributions Toward Closing the Practice–Theory Gap

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In this article three generations of research addressing the marketing construct in nonprofit organizations are critically analyzed: (a) market orientation in nonprofit organizations, (b) societal orientation, and (c) research contributions aiming to close the existing practice–theory gap on this topic. A qualitative study among 24 nonprofit marketers is conducted in Canada and Germany to develop a construct labeled nonprofit marketing orientation. It includes the dimensions of brand orientation, supporters’ orientation, commercial orientation, and service orientation. Furthermore, the authors describe the nomological net of nonprofit marketing orientation to present interconstruct relationships and to inform future research.

KEYWORDS *nonprofit marketing, marketing orientation, brand strength, nonprofit brand orientation*

INTRODUCTION

There is arguably no more central concept in the marketing discipline than the marketing concept. However, there is no accepted opinion in nonprofit marketing research on how to define and conceptualize the dimensions of

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this concept. We identify three generations of research that choose slightly different approaches. These are delineated in the following.

In the first generation, researchers develop the *market orientation* construct and apply it in for-profit contexts. Per definition of many researchers, market orientation is generally accepted to be the operationalization or implementation of the marketing concept (Kohli & Jaworski, 1990; Sharp, 1991). The principle element of market orientation is the market or customer focus (Sharp, 1991). Chad, Kyriazis, and Motion (2013a) trace the marketing concept's origins to Drucker (1954) and Levitt (1960), who direct businesses to achieve profitability through focusing on meeting their customers' needs. Open-minded, progressive marketing scholars, during the debates within the marketing academy regarding broadening the scope of marketing beyond business profit growth, saw acceptance by the marketing academy of marketing relevance for nonbusiness organizations. For example, a central argument was that nonprofit organizations might benefit from borrowing commercial marketing tactics and, therefore, should be encouraged to use them (Arndt, 1979). In fact, these market orientation scales have been applied to nonprofit contexts by researchers (Gainer & Padanyi, 2002; Gonzalez, Vijande, & Casielles, 2002; Kara, Spillan, & DeShields, 2004).

In the second generation of research, the question arises if marketing concepts that were conceptualized for a business (usually a large consumer products corporation) are valid across organizational types. Researchers argue that the concept of market orientation is conceptually flawed, because it was originally developed for for-profit contexts. Thus, market orientation is not appropriate to be applied to nonprofit settings without appropriate adjustments. *Societal orientation*—a so-called “new marketing construct” (Liao, Foreman, & Sargeant, 2001)—has been introduced as an alternative that better responds to the specific needs of nonprofit organizations (Duque-Zuluaga & Schneider, 2008; Liao et al., 2001). While the principle element of market orientation is the market or customer, it is the society for societal orientation. In fact, Liao et al. (2001, p. 263) state: “A societal orientation construct should thus consider the extent to which a nonprofit focuses on the needs of its key stakeholder groups, including the needs of the wider society.”

The third generation research is a more recent development. It focuses on a “practice–theory” gap. In fact, researchers argue that the implementation of the marketing concept is still under-researched (Chad, Motion, & Kyriazis, 2013b; Modi & Mishra, 2010). In line with this, we argue that neither market orientation nor societal orientation is feasible to operationalize the implementation of marketing in nonprofit organizations nor can be used by nonprofit markets to assess their organization's marketing activities appropriately. When asking board managers or nonprofit marketers what their behavioral activities in a daily marketing business look like, they mainly refer to branding activities (Urde, Baumgarth, & Merrilees, 2013) such as

writing newsletters, using Facebook, or designing posters to communicate to their stakeholders. However, existing marketing concepts do not capture these activities. While market orientation refers to the principle element of the market or customer, and societal orientation to the principle element of society, we argue that the label *nonprofit marketing orientation* should be used, when referring to the principle element of nonprofit marketing (Sharp, 1991). Thus, we define nonprofit marketing orientation as the operationalization of the marketing concept in nonprofit organizations. The research aim of this paper is to discuss and conceptualize nonprofit marketing orientation.

With this article we seek to contribute to nonprofit marketing research in several ways. First, we critically analyze all three generations of research addressing the marketing construct in nonprofit organizations. In particular, the third generation of research has rarely been addressed by researchers so far. Second, unlike much of previous research, we will be arguing from a managerial point of view when conceptualizing nonprofit marketing orientation, contributing to close a “practice–theory” gap. In this regard, our conceptualization is based on a qualitative study, which we conducted among nonprofit marketers. Third, unlike many other research contributions, we will provide insights into the difference between nonprofit marketing orientation and the brand construct when placing them in a nomological net of relevant antecedents and nonprofit marketing outcomes (Urde et al., 2013).

DIMENSIONS OF MARKET ORIENTATION IN NONPROFIT ORGANIZATIONS

The conceptualization of market orientation is often discussed on the level of scales. The two most commonly used scales of market orientation are MKTOR (Narver & Slater, 1990; Slater & Narver, 1994) and MARKOR (Jaworski & Kohli, 1993). These authors describe major components or pillars of market orientation (see all items in Table 1). Narver and Slater’s (1990) pillars are (a) customer orientation, (b) competitor orientation, and (c) inter-functional coordination. Kohli and Jaworski’s (1990) pillars are (a) customer focus and (b) inter-functional coordination. When an organization has a customer orientation/focus, this refers to an organization that actively acquires information about customers and disseminates the information throughout the organization (Narver & Slater, 1990). Similarly, when an organization has a competitor orientation, this refers to an organization that actively acquires information about competitors and disseminates the information throughout the organization (Narver & Slater, 1990). Inter-functional coordination refers to the organization sharing the acquired information across departments, and then collaboratively using this information to make decisions resulting in

comparatively greater customer satisfaction (Kohli & Jaworski, 1990). Clearly, businesses were the tacit organization type in these conceptualizations (the term “business” is almost always used instead of the term “organization”), especially large businesses organized along specialized functional areas, having a customer focus. To strengthen this argument, we examined the scale items to detect what organizational context these scales would apply to. Four types of thematic areas causing market orientation to be conceptually flawed toward a for-profit context were observed (Table 1): the organization type is a business (BUS), the organization is large and structured into business functional areas (SIZE), the organization has competitors (COM), and the organization has customers (CUS).

The concept of market orientation, originally developed for the for-profit context, has then been applied to nonprofit settings (Brady, Brace-Govan, Brennan, & Conduit, 2011; Gainer & Padanyi, 2002; Gonzalez et al., 2002; Kara et al., 2004), with the belief that the adaptation of business practices by nonprofit organizations would be a valuable practice. In this regard, Kara et al. (2004) investigated the relationship between market orientation and business performance with an empirical study on nonprofit service providers. Gainer and Padanyi (2002) assessed the impact on market orientation on organizational performance in the context of cultural organizations.

DIMENSIONS OF SOCIETAL ORIENTATION

In the second generation of research, it has been argued that the marketing concept is not feasible to be applied to nonprofit organizations, because it is conceived with a specific type of organization in mind and thus is conceptually flawed. This fact would substantially weaken the validity of the market orientation measure. Based on this assumption, nonprofit researchers introduced a concept labeled societal orientation. These researchers argued that societal orientation instead of market orientation should be used to grasp the specifics of the nonprofit sector (Duque-Zuluaga & Schneider, 2008; Liao et al., 2001; Sargeant, Foreman, & Liao, 2002). The societal orientation construct is defined as “the extent to which a nonprofit focuses on the needs of its key stakeholder groups, including the needs of the wider society of which it forms part” (Liao et al., 2001, p. 263). Liao et al. (2001) describe major components or pillars of societal orientation to be (a) stakeholder orientation, (b) competitive orientation, (c) collaborative orientation, and (d) interfunctional orientation. Duque-Zuluaga and Schneider (2008) extended the societal orientation model, stressing the major components would be composed by (a) beneficiary and recipient orientation, (b) donors and resource orientation, (c) volunteer and employee orientation, (d) collaborative orientation, (e) learning and social entrepreneurship, as well as (f) inter-functional coordination.

TABLE 1 Marketing Orientation Scale Comparison

MKTOR Scale Items	MARKOR Scale Items
Our business objectives are driven by customer satisfaction. BUS, CUS	In this organization, we meet with customers at least once a year to find out what products or services they will need in the future. CUS, SIZE, BUS
We monitor our level of commitment and orientation to serving customers' needs. SIZE	In this organization, we do a lot of in-house market research. SIZE
Our strategy for competitive advantage is based on our understanding of customer needs. COM	We are slow to detect changes in our customers' product references. BUS, CUS
Our business strategies are driven by our beliefs about how we can create greater value for customers. CUS	We survey end users at least once a year to assess the quality of our products and services. BUS, CUS
We measure customer satisfaction systematically and frequently. CUS, SIZE	We are slow to detect fundamental shifts in our industry (e.g., competition, technology, regulation). BUS, SIZE
We give close attention to after-sales service. CUS, BUS	We periodically review the likely effect of changes in our business environment (e.g., regulation) on customers. BUS, CUS
Our salespeople share information within our business concerning competitors' strategies. BUS, CUS, COM, SIZE	We have interdepartmental meetings at least once a quarter to discuss market trends and developments. SIZE, BUS
We respond to competitive actions that threaten us. COM	Marketing personnel in our organization spend time discussing customers' future needs with other functional departments. CUS, SIZE
We target customers and customer groups where we have, or can develop, a competitive advantage. CUS, COM	When something important happens to a major customer market, the whole department or organization knows about it within a short period. CUS, SIZE
The top management team regularly discusses competitors' strengths and strategies. SIZE, COM	Data on customer satisfaction are disseminated at all levels in this organization on a regular basis. CUS, SIZE
Our top managers from every function visit our current and prospective customers. SIZE, CUS	When one department finds out something important about competitors, it is slow to alert other departments. COM, SIZE
We communicate information about our successful and unsuccessful customer experiences across all business functions. SIZE, BUS, CUS	It takes us forever to decide how to respond to our competitors' price changes. COM, BUS
All of our business functions (e.g., marketing/sales, manufacturing, R&D, finance/accounting, etc.) are integrated in serving the needs of our target markets. BUS, SIZE, CUS	For one reason or another we tend to ignore changes in our customers' product or service needs. CUS
All of our managers understand how everyone in our company can contribute to creating customer value. BUS, CUS	We periodically review our product development efforts to ensure that they are in line with what customers want. SIZE, CUS

(Continued)

TABLE 1 (Continued)

MKTOR Scale Items	MARKOR Scale Items
	Several departments get together periodically to plan a response to changes taking place in our business environment. SIZE, BUS
	If a major competitor were to launch an intensive campaign targeted at our customers, we would implement a response immediately. COM, CUS
	The activities of the different departments in this business are well coordinated. SIZE, BUS
	Customer complaints fall on deaf ears in this organization. CUS
	Even if we came up with a great marketing plan, we probably would not be able to implement it in a timely fashion. SIZE
	When we find that customers would like us to modify a product or service, the departments involved make concerted efforts to do so. CUS, SIZE

Notes:

BUS The target organization is a business.

COM The organization has competitors.

CUS The organization has customers.

SIZE The organization is large and structured into functional departments.

CRITICAL REFLECTION ON THE NEED TO BETTER UNDERSTAND
NONPROFIT MARKETING ORIENTATION

We argue that neither market orientation nor the societal orientation construct capture marketing in a way it is perceived by nonprofit marketers. They do not capture marketing fundamentals and branding activities as practiced by nonprofit organizations in a daily business environment. However, nonprofit marketers might approach marketing from a functional perspective. With this we refer to the actual behavior of nonprofit marketers, to the set of marketing activities marketers carry out on a day-to-day basis (Gonzalez et al., 2002). They might use the website for promotion purposes and to communicate. They might produce information brochures or try to initiate positive word-of-mouth. They might use such activities to benchmark themselves to other organizations. However, existing scales do not capture these activities (Urde et al., 2013). As of today, the implementation of the marketing concept in nonprofit organizations is still under-researched (Chad et al., 2013b; Modi and Mishra, 2010). In this regard, Modi and Mishra (2010) state that “market orientation in the for-profit sector is one of the most researched fields in the marketing discipline. However, non-profit marketing as a whole and market orientation of NPOs in particular are largely under-researched areas” (p. 565). We argue that there is a necessity to close this “practice–theory”

gap by understanding what exactly nonprofit marketing orientation is from a nonprofit marketer's perspective.

QUALITATIVE STUDY

Methodology and Analysis

In 2013, we conducted semistructured in-depth telephone interviews with 24 nonprofit managers. We chose to conduct qualitative interviews to extract unstandardized results from experts. The semistructured questionnaire covered two main sections. First, we were interested in exploring the term *marketing orientation* for nonprofit organizations and how nonprofit marketers define marketing in nonprofit organizations. Second, marketers described and explained dimensions of marketing orientation for nonprofit organizations (please find the semistructured interview questionnaire in Appendix 1).

We recruited interviewees from a variety of nonprofit organizations, covering diverse cultural contexts, as well as different nonprofit sectors to ensure external validity of results. To this end, half of the nonprofit marketing managers interviewed were based in Canada, and half of them in Germany. These managers were employed in nonprofit organizations covering all 12 major activity groups as described by the International Classification of Nonprofit Organizations (Donoghue, 2010).

The telephone interviews were recorded and transcribed. A content analysis was then conducted utilizing the application software MAX Qualitative Data Analysis (MAXQDA, 2011). Keyword frequencies were used to identify thematic threads linking statements of common meanings across interviews. There were 440 statements that were identified for compilation. Phrases were created that summarized four central themes. Then statements were compiled into thematic groupings. This procedure was chosen because it helps us to structure marketers' comments and gives an impression about the frequencies of statements made in each of the thematic fields (please consider the limitation that this approach does not capture the level of importance referred to by a marketer).

Results of the Qualitative Study

First, we were interested in exploring the term *marketing orientation* for nonprofit organizations and how nonprofit marketers define marketing in nonprofit organizations. We found that respondents made reference to the fact that marketing in nonprofit organizations might differ from marketing in for-profit organizations.

What is marketing? I suppose it's probably a profit definition, but in my definition I would say that marketing is, getting people to know who we are and what we do and why they should be a part of that.

Furthermore, they based their definition of marketing on a set of behavioral activities they conduct to market the brand object:

I think, when we talk about marketing we're trying to get our brand, our image out to the public and bring more awareness of what we are about as an organization.

Respondents also mentioned the objective of marketing, namely to gain support for the organizations:

Enlarging the public's understanding of what we do so that they are able to assist us in advocating for our interests and in supporting us.

Second, concerning the nonprofit marketers' description and explanation of dimensions of the marketing construct, we found the following. When our nonprofit managers discussed marketing in their organizations, brand orientation (Casidy, 2014) issues were frequently mentioned. Of the 440 statements, 255 (~ 58%) were categorized under the brand theme. Nonprofit managers think of their brand as their organization's image, as perceived by important audiences. One part of marketing's role is to engage in regular communication activities that familiarize audiences with the organization and present the organization in a favorable manner to improve attitudes and to remind audiences of the importance of the work carried out by the organization. Functional activities referred to by the managers are: the use of their website for promotion purposes, the use of social media (Facebook, Twitter, YouTube) to communicate to their stakeholders, the publishing of an own magazine, or the realization of all sorts of print media (see Table 2).

The nonprofit managers we interviewed view marketing as a means to attract support or resources to the organization. We call this dimension supporters' orientation. Branding activities facilitate supporter/resource attraction by enhancing the visibility and reputation of the organization. The idea is that a well-known nonprofit organization that enjoys an excellent reputation will be more effective in attracting support than its counterparts. Marketing is driven by communications activities and is relational. That is, effective nonprofit marketers seek to build relationships with supporters, believing that this approach will result in more enduring and impactful supporter actions than treating support as a transactional event. Hence, our next most frequent thematic category, which we label "Supporters," contains 138 of our 440 statements (~ 31%). These statements indicated marketing activities that were directly or indirectly used to attract support or maintain

TABLE 2 Dimensions of Nonprofit Marketing Orientation

Theme	Statement	Count
Brand	Uses the website for promotion purposes and to communicate	32
Brand	Informs the public to increase acceptance	31
Brand	Uses social media (Facebook, Twitter, YouTube) to communicate	21
Brand	Produces information brochures	21
Brand	Marketing objective is that people recognize the organization	20
Brand	Uses public relations to spread information's about NPO, products, or services	19
Brand	Realizes advertisements to promote NPO or products and services	17
Brand	Regular presence of NPO in broadcast (TV or radio)	15
Brand	NPO makes an effort to have a corporate identity and logo	14
Brand	Publishes an own magazine or seeks to appear in articles in newspapers	12
Brand	Marketing objective is that people have a good feeling about NPO	10
Brand	Realizes all sorts of print media	10
Brand	Tries to initiate positive word-of-mouth	9
Brand	Communicates via posters	9
Brand	Tries to inform beneficiaries, clients, members, and the public	8
Brand	Building and maintaining an image of the NPO	7
	Category total	255
Supporters	NPO constantly recruits employees, volunteers, and members	26
Supporters	Communication is target group oriented	20
Supporters	Uses dialog or direct mailings to communicate with stakeholders	17
Supporters	NPO seeks to acquire money donations from individuals	11
Supporters	NPO seeks to acquire public funding	9
Supporters	Behavior to supporters is relational	8
Supporters	NPO tries to retain employees and volunteers	7
Supporters	NPO receives financial resources from members	7
Supporters	NPO seeks to acquire money donations from companies	7
Supporters	Regularly publishes a newsletter	7
Supporters	Door-to-door practices	7
Supporters	Tries to establish long-term relationships	6
Supporters	NPO seeks to acquire time donations	6
	Category total	138
Commercial	Develops, adapts, and eliminates products/services	7
Commercial	NPO acquires funding through pricing of products and services	6
	Category total	13
Service	NPO organizes events to serve various stakeholders	24
Service	Focuses on the needs of beneficiaries, clients, and members	10
	Category total	34
	Grand total	440

supporter relationships. For instance, the nonprofit organization (NPO) constantly seeks to recruit employees, volunteers, and members, to use dialog or direct mailings to communicate with stakeholders, or to receive financial resources from members (see [Table 2](#)).

Furthermore, nonprofit managers used business metaphors as a framework for understanding their organizations. This is the commercial orientation dimension. These were individuals who had transitioned to a nonprofit managerial position after substantial business management experience. They brought their business models to frame their thinking of their nonprofit organization. For example, they think of donors and other supporter groups as customers. They view the organizational programs as products. We labeled this category “Commercial,” developed two statements for the category, and found 13 statement counts ($\sim 3\%$) in the interview data.

In our final category, which we label service orientation, we found that some nonprofit managers perceived marketing involved in service provision and service quality. This is not surprising as there is a subfield of services marketing that deals with the marketing of (primarily) for-profit service organizations. Obviously, service has an operational, programmatic component. We counted 34 statements ($\sim 8\%$) in the service category.

The interviews provide us with an enriched understanding of nonprofit managers’ perspectives. This understanding influences our conceptualization of the nonprofit marketing concept and nonprofit marketing orientation. Our conceptualization is also influenced by our critical analysis of prior research on these constructs. Our theoretical constructions, then, should be generally applicable across nonprofit contexts.

DISCUSSION AND THEORETICAL DEVELOPMENT

We believe fundamental flaws in prior research were that marketing scholars failed to consider their operational context, tactical assumptions, and the limits to which their work should be applied. We avoided having a specific type of nonprofit organization in mind as we developed our constructs. There is a large variety of nonprofit organizational types.

We began by defining nonprofit marketing. It is an organized, planned set of activities carried out in order to attract support for the brand object (e.g., nonprofit organization or charity).

From whom, then, does one want to attract support? From those most likely to have the motivation and ability to provide support. Audiences or groups that marketers may target with marketing appeals might include the general public, specific subgroups of the general public, public officials, specific donor groups, volunteers, institutions (e.g., businesses, foundations), or any other relevant audience or group.

What is meant by support? Support refers to the desired response a marketer is seeking from a target audience or group. This might be a vote, a donation, volunteering, signing a petition, a membership, a purchase, and so forth.

This is not to suggest that marketing is only concerned with delivering appeals. There is an array of marketing activities that are supportive or complementary to direct appeals for support. Marketers conduct applied research and gather information to understand target groups and to make better marketing decisions. Marketers conduct ongoing communication activities to help target groups become more familiar with the organization and to enhance its image and reputation. These complementary activities indirectly influence subsequent direct appeals for support. Individuals are more likely to support a charity, for example, if they are familiar with the charity and if the charity has an excellent reputation.

Nonprofit Marketing Orientation Construct

Nonprofit marketing orientation refers to a mindset, way of thinking, or tendency to predominately view organizational issues from a marketing perspective. A marketing-oriented organization uses marketing thinking not as a specialized area of the organization but as a general management orientation (Webster, 1988). Through education and experience, a marketing-oriented manager's general direction of thought, inclination, or interest is toward marketing concepts and marketing tactics.

A marketing-oriented manager may think more about how the organization is perceived by important target groups than a leader influenced by another managerial orientation. A marketing-oriented manager might be more motivated to engage in marketing tactics to influence external perception of the organization and to develop relationships with supporters. This is not to say that a marketing-oriented manager will not be concerned with internal operational issues. However, marketing-oriented managers would be unlikely to see their role as internally bounded.

A marketing-oriented manager would think organizational success is dependent upon the organization's ability to attract supporters, and to develop supporter relationships toward enduring and greater levels of commitment over time. Hence, a marketing-oriented manager would see communicating with external audiences as a necessity, a priority.

NOMOLOGICAL NET

In a nonprofit organization characterized as having a marketing orientation, we expect to find that marketing concepts, strategies, and tactics are imbued in the general or lasting direction of thought, inclination, or interests among an organization's leaders. The proximate nomological net of nonprofit marketing orientation is presented in [Figure 1](#). It was developed based on the qualitative study as well as with relevant nonprofit marketing literature. Presenting a nomological net model provides a means of describing

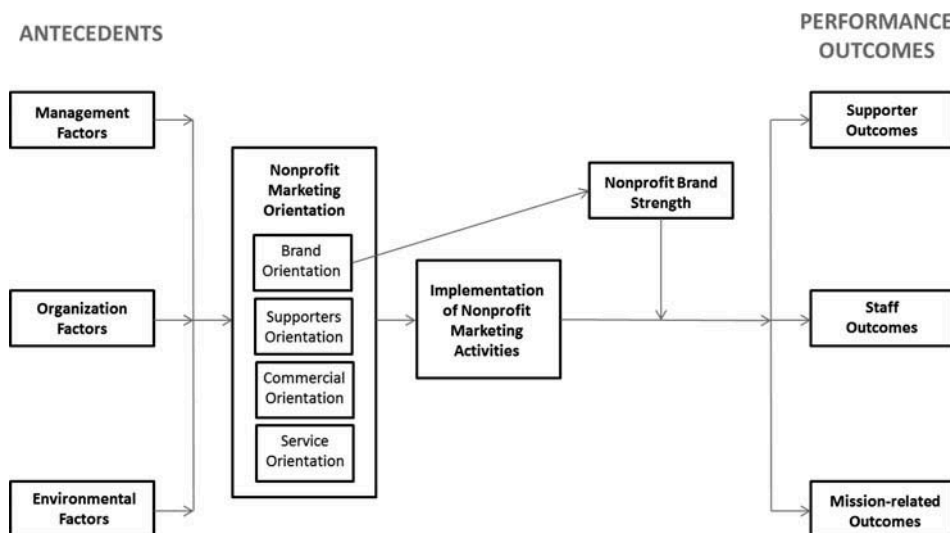


FIGURE 1 Nomological net for nonprofit marketing orientation.

antecedents and consequents of our focal construct. It also illustrates suggested areas for future research. Future research can refine or expand the model, adding antecedents, mediators, moderators, or consequents. Future inquiry is needed to develop or evaluate the validity of construct measures.

Nonprofit Marketing Orientation Antecedents

We propose three categories of antecedents of nonprofit marketing orientation: top management factors, organizational factors, and environmental factors.

MANAGEMENT FACTORS

The organization's leadership, practiced by its top managers, determines the degree to which the organization is committed to marketing activities (Chad et al., 2013b). Top managers develop incentive systems that reinforce the behaviors of organizational members. Top managers propagate the use of a marketing lexicon as an operative vernacular. Top managers' educational and work experiences along with their personal styles direct their behaviors, decisions, and impact on organizational culture.

ORGANIZATIONAL FACTORS

Organizational factors represent another antecedent to nonprofit marketing orientation (Chad et al., 2013b). An organization with a long history has

a more established and enduring culture than a more recently established organization. If the organization is a well-known and popular organization, its culture is likely to have been reinforced. An organization that has a history of experiencing pressure to attract and retain supporters for growth and survival is likely to be more marketing-oriented than another organization.

ENVIRONMENTAL FACTORS

The organization exists within the context of a larger environment. It interacts with and responds to this environment (Gonzalez et al., 2002). Hence, the environment has some influence on all aspects of the organization, including the degree to which it is marketing-oriented. The history of civic participation and philanthropy in a given country influences the degree to which the general population is inclined to support its nonprofit sector. Countries vary with respect to their support for various types of nonprofit organizations. Some types of nonprofit organizations may receive substantial public funding, whereas other types of nonprofit organizations may receive very little public funding. Obviously, organizations not getting public funding are under greater pressure to attract individual support and would have an incentive to be more marketing-oriented. The composition of a community's nonprofit sector would also exert influence on individual organizations. If a segment of the nonprofit sector contains a large number of organizations and is highly fragmented, potential supporters have alternatives. An organization in a crowded sector would experience greater pressure to differentiate itself from similar organizations and to communicate with potential supporters.

Implementation of Nonprofit Marketing Activities

Nonprofit marketing orientation is manifested in a group of types of behavior, namely the organization's marketing activities (Brady et al., 2011; Gonzalez et al., 2002). These activities lead to the implementation of nonprofit marketing. A marketing-oriented organization, compared to an organization having another managerial orientation, is more likely to have dedicated marketing staff, to provide funding for marketing activities, to engage in regular communication with target audiences, to engage in public relations, and so forth. A marketing-oriented organization uses a larger number of marketing tactics, in a more sustained manner, and over a longer period of time than another organization.

Brand Strength

Brand refers to how the public (or a target audience of interest) perceives or comprehends the organization or other branded object (Simoes & Dibb, 2001). Thus, brand refers to a target group's comprehension of a branded

object based on information they have received about it and experiences they have had with it (Daw & Carol, 2011; Wymer, 2013).

Brand strength refers to the degree to which a brand is well-known to a target group, is perceived favorably by a target group, and is perceived to be remarkable by a target group (Wymer, Scholz, & Helmig, 2012). The degree to which brand orientation influences desired marketing outcomes is mediated by brand strength. For example, if an organization rarely communicates to external audiences, then those audiences will know little about it. When they see the organization's logo, they may not recall which organization it represents, and the meaning associated with the logo may be superficial. This would obviously be a weak brand. Conversely, when a long-established organization has regularly developed and implemented communication plans to familiarize target audiences with it, the logo is immediately recognized and the purpose and reputation of the organization easily recalled. This would be a stronger brand.

As a mediator, brand strength is influenced by the implementation of marketing activities of the organization and, in turn, it influences consequent variables. Brand strength is a partial mediator, not a complete mediator. For example, a relatively unknown (low brand strength) charity may attract some contributions during a fundraising campaign. However, we would expect a well-known charity that is perceived as outstanding (strong brand) to have a more successful fundraising campaign.

Performance Outcomes

Just as meta-analytic studies have found a relationship between market orientation and business performance (Cano, Carrillat, & Jaramillo, 2004), we believe there should also be a relationship between nonprofit marketing orientation and nonprofit organizational performance. There are three general categories of outcome variables: supporter-related outcomes, staff-related outcomes, and mission-related outcomes.

As an organization's brand strength increases, the implication is that the target groups' familiarity with the organization increases, their attitudes toward the organization improve, and the degree to which they perceive the organization to be exceptional in comparison with similar organizations increases.

SUPPORTER-RELATED OUTCOMES

The number of people who know about the organization and who are favorably disposed toward the organization increases. Since the number of potential supporters increases and the organization's brand preference increases, we would expect supporter or resource acquisition to increase (Brady *et al.*, 2011; Duque-Zuluaga & Schneider, 2008). The increase in brand

strength is reflected in more positive perceptions of the organization from groups that are important to the organization. Hence, the retention of current supporters should increase. Other behavioral consequents of brand strength should increase, like the intensity of support (more frequent support, greater levels of support).

STAFF-RELATED OUTCOMES

It is reasonable to expect that nonprofit marketing orientation is related to staff retention, staff attitudes, commitment, and organizational citizenship behaviors (Chad et al., 2013b; Duque-Zuluaga & Schneider, 2008). Increasing levels of nonprofit marketing orientation implies that marketing is perceived as the general management model or framework through which decisions are made and priorities are determined. The organizational culture is more marketing-centric. The organization lexicon is laced with marketing concepts and words that reflect the perceptual lens through which information is comprehended. The increased emphasis on brand strength as the mediator of organization success creates a concern with the exceptionalism of the organization, its popularity, and its perceived importance. This culture of concern implies that organizational members have a set of shared values, beliefs, social forms, goals, and practices that not only influence the organization's continuous improvement, but its cohesion.

MISSION-RELATED OUTCOMES

The emphasis on brand strength implies that the organization's marketing tactics are not limited to favorable outbound communications, but also the quality of its programs and its mission impact (Chad et al., 2013b; Duque-Zuluaga & Schneider, 2008). For the organization's brand strength to increase, indeed, for the organization to be the dominant brand among its peers, the organization must be perceived to be remarkable. A mediocre organization is unlikely to achieve the supporter and staff-related outcomes discussed previously. These three categories of outcomes are inter-related and reflective of an organization with a high level of brand strength.

SUMMARY AND LIMITATIONS

In this article, we critically analyzed three generations of research on the application of the marketing construct in nonprofit organizations. Our analysis showed that there is need to develop a new construct to capture marketing in nonprofit organizations. Based on a qualitative study, we developed a concept we labeled *nonprofit marketing orientation*, responding to all issues discussed in all three generations of research. Based on a qualitative

study among nonprofit marketers conducted in Canada and Germany, we developed a conceptual framework and placed nonprofit marketing orientation. It includes the dimensions of brand orientation, supporters' orientation, commercial orientation, and service orientation. Furthermore, we developed a nomological net of relevant antecedents and nonprofit marketing outcomes.

Our contribution goes further than improving the definitional development of a core marketing construct. Although much work needs to be done, our conceptual and integrative work adds to efforts toward the systematic development of a theory of nonprofit marketing orientation. Concerning the focal construct, limitations include the fact that the conceptual model was developed avoiding a specific type of nonprofit organization. The reason for this rationale is that we wanted to increase the external validity of results. It has to be admitted that certain subsectors might practice different applications of the marketing construct. While this article presents a first step to capture nonprofit marketing orientation, further research might illuminate nonprofit sector specifics. Furthermore, it has to be noticed that this research only represents a first step in the development of a construct of nonprofit marketing orientation. Future work on developing a valid scale of nonprofit marketing orientation would be an important empirical work in this area. Concerning the development of the nomological net, we encourage further research on nonprofit marketing orientation and relationships to other constructs. The conceptualization we developed here based on literature might be empirically verified in future research.

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APPENDIX: SEMISTRUCTURED INTERVIEW QUESTIONNAIRE

Organization/Sector: _____

Organization Size: _____

Name of Interviewee: _____

Job Position: _____

Working Experience: _____

Date and Duration: _____

- I. Exploring the term “marketing orientation” for nonprofit organizations
 1. What do you think “marketing” is? What is the purpose of marketing?
 2. What are typical marketing actions of your organization?
 3. Does a marketing orientation exist in your organization?
 4. What are typical actions that express the orientation of your organization?
 5. Which structures, actions, behaviors are typical for not being marketing orientated?
 6. Which other “orientations” exist in your nonprofit organization?
- II. Defining marketing orientation for nonprofit organizations
 7. What is the meaning of marketing orientation in the nonprofit context?
 8. How can a marketing orientation be distinguished between the nonprofit and the for-profit context?
 9. How would you describe the extent of marketing orientation in comparison to peer organizations?
- III. Describing and explaining dimensions of marketing orientation for nonprofit organizations
 10. Which challenges does your organization face regarding marketing?
 11. Which challenges does your organization face regarding related fields of marketing, such as resource acquisition, branding, donor relationships, and similar issues?
 12. How is marketing in your organization related to public relations and communications activities?
 13. For which nonprofit industries is marketing orientation more/less important?

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